

Contract 1:
**IT SOFTWARE DEVELOPMENT &
MAINTENANCE SERVICES AGREEMENT**

This Agreement is entered into on this 15th day of January, 2024

BETWEEN:

ACME Corporation Private Limited

Having its registered office at Plot No. 45, Cyber Park, Sector 21, Gurugram, Haryana – 122016, India

(hereinafter referred to as the "**Client**" or "**First Party**", which expression shall, unless repugnant to the context or meaning thereof, include its successors and permitted assigns)

AND

TechVenture Solutions India Pvt. Ltd.

Having its registered office at Tower B, 12th Floor, IT Plaza, Whitefield, Bangalore, Karnataka – 560066, India

(hereinafter referred to as the "**Vendor**" or "**Service Provider**" or "**Second Party**", which expression shall, unless repugnant to the context or meaning thereof, include its successors and permitted assigns)

The Client and the Vendor are hereinafter individually referred to as "**Party**" and collectively as "**Parties**".

RECITALS

WHEREAS the Client is engaged in the business of manufacturing and distribution of consumer electronics and requires a comprehensive enterprise resource planning (ERP) system and associated software applications to streamline its operations, inventory management, supply chain coordination, and financial reporting;

WHEREAS the Vendor represents and warrants that it possesses the necessary technical expertise, infrastructure, and experienced personnel to undertake software development, customization, implementation, and ongoing maintenance services;

WHEREAS the Client, after due evaluation, has selected the Vendor to provide software development and maintenance services on the terms and conditions set forth herein;

WHEREAS the Parties wish to record the terms and conditions governing their commercial relationship and the provision of services;

NOW, THEREFORE, in consideration of the mutual covenants, promises, and agreements contained herein, and for other good and valuable consideration, the receipt and sufficiency of which are hereby acknowledged, the Parties agree as follows:

1. DEFINITIONS AND INTERPRETATIONS

1.1 Definitions

In this Agreement, unless the context otherwise requires, the following terms shall have the meanings assigned to them below:

(a) **"Acceptance"** means the written acknowledgment by the Client that the Deliverables meet the requirements as reasonably determined by the Client;

(b) **"Agreement"** means this IT Software Development & Maintenance Services Agreement including all schedules, annexures, and amendments executed from time to time;

(c) **"Business Day"** means any day other than a Saturday, Sunday, or public holiday in India;

(d) **"Commencement Date"** means the date of execution of this Agreement or such other date as mutually agreed in writing;

(e) **"Confidential Information"** means all information disclosed by one Party to the other, whether orally or in writing, that is designated as confidential or that reasonably should be understood to be confidential;

(f) **"Deliverables"** means all software modules, applications, source code, documentation, training materials, and other work products to be delivered by the Vendor as specified in Schedule A;

(g) **"Effective Date"** means January 15, 2024;

(h) **"Intellectual Property Rights"** or **"IPR"** means all patents, copyrights, trademarks, trade secrets, and other proprietary rights;

(i) **"Maintenance Services"** means ongoing support, bug fixes, updates, and enhancements as may be required;

- (j) **"Milestone"** means specific project phases or deliverables as outlined in Schedule B;
- (k) **"Project"** means the development, customization, implementation, and deployment of the software solution as described herein;
- (l) **"Services"** means all services to be provided by the Vendor under this Agreement including but not limited to analysis, design, development, testing, deployment, training, and maintenance;
- (m) **"Term"** means the duration of this Agreement as specified in Clause 8.

1.2 Interpretation

- (a) Headings are for convenience only and do not affect interpretation;
 - (b) References to clauses and schedules are references to clauses of and schedules to this Agreement;
 - (c) Words importing the singular include the plural and vice versa;
 - (d) References to any statutory provision include any modification or re-enactment thereof;
 - (e) The schedules form an integral part of this Agreement and have the same force and effect as if set out in the body of this Agreement.
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2. SCOPE OF WORK AND DELIVERABLES

2.1 General Scope

The Vendor shall provide comprehensive software development and maintenance services to the Client, including but not limited to:

- (a) Analysis and documentation of business requirements;
- (b) Design and architecture of the software solution;
- (c) Development and customization of software modules;
- (d) Testing, quality assurance, and bug fixing;
- (e) Deployment and implementation support;
- (f) User training and documentation;
- (g) Post-implementation support and maintenance;
- (h) Such other services as may be mutually agreed upon in writing from time to time.

2.2 Specific Deliverables

The Vendor shall deliver the following modules and components (the exact specifications and functionalities to be finalized based on best efforts and mutual discussion):

(a) Core ERP Modules:

- Procurement and inventory management module
- Sales and distribution module
- Finance and accounting module
- Human resources and payroll module
- Manufacturing and production planning module

(b) Custom Applications:

- Mobile application for field sales force
- Vendor portal for supplier collaboration
- Customer relationship management (CRM) integration
- Business intelligence and reporting dashboard

(c) Integration Components:

- Integration with existing legacy systems as needed
- Third-party API integrations as required
- Data migration from current systems

(d) Documentation:

- Technical documentation
- User manuals
- Training materials

2.3 Modifications to Scope

Any changes or additions to the scope of work shall be made only through written change requests signed by both Parties. The Vendor reserves the right to revise timelines and costs for any such changes. The Client acknowledges that scope changes may impact delivery schedules.

2.4 Ambiguity in Scope

Where the scope of work is not explicitly defined or is subject to interpretation, the Vendor shall proceed based on industry best practices and its reasonable judgment. The Client shall cooperate in good faith to clarify requirements on a best-effort basis.

3. CONTRACT VALUE AND COST STRUCTURE

3.1 Total Contract Value

The total estimated value of this Agreement is **INR 8,50,00,000 (Indian Rupees Eight Crore Fifty Lakhs Only)**, subject to adjustments as per Clause 3.3 below.

3.2 Cost Breakdown

The contract value is structured as follows:

Component	Amount (INR)
Software Development (Core ERP)	4,25,00,000
Custom Applications Development	1,75,00,000
System Integration & Data Migration	95,00,000
Training & Documentation	30,00,000
Annual Maintenance (Year 1)	1,25,00,000
Total	8,50,00,000

3.3 Additional Costs

- (a) The above costs are estimates and may vary based on actual effort required. The Vendor shall have the right to revise costs if the scope exceeds initial estimates.
- (b) Any third-party software licenses, hardware, or infrastructure costs shall be borne separately by the Client.
- (c) Travel, accommodation, and out-of-pocket expenses incurred by the Vendor's personnel shall be reimbursed by the Client at actuals plus 15% handling charges.
- (d) Any statutory taxes, duties, or levies shall be charged extra as applicable.
- (e) Costs for change requests or scope enhancements shall be quoted separately and invoiced upon acceptance.

3.4 Cost Escalation

The Vendor reserves the right to increase the service fees by up to 12% annually to account for inflation, salary revisions, and market conditions. Such increases shall be notified to the Client 30 days in advance.

4. PAYMENT TERMS AND SCHEDULE

4.1 Payment Structure

Payments shall be made by the Client to the Vendor as per the following schedule:

Milestone	Description	Percentage Amount (INR)	
Upon Signing	Agreement execution	0%	0
Requirement Analysis Complete	Documentation approved	15%	1,27,50,000
Design Phase Complete	Design documents approved	20%	1,70,00,000
Development 50% Complete	Core modules developed	25%	2,12,50,000
UAT Complete	User acceptance testing done	25%	2,12,50,000
Go-Live	System deployed	10%	85,00,000
Post Go-Live (90 days)	Stabilization period complete	5%	42,50,000

4.2 Payment Terms

- (a) All payments shall be made within **ninety (90) days** from the date of invoice submission by the Vendor.
- (b) Invoices shall be raised by the Vendor upon achievement of each milestone as determined by the Vendor's internal assessment.
- (c) Client approval of milestones shall not be unreasonably delayed; however, the Vendor acknowledges that Client has internal processes that may require time.
- (d) In case of delayed payments beyond the stipulated period, the Vendor may charge interest at the rate of **2% per month** or part thereof on the outstanding amount.
- (e) All payments shall be made through NEFT/RTGS to the bank account details provided by the Vendor.

4.3 No Advance Payment

The Client is not required to make any advance payment. All payments are linked to milestone completion as determined by the Vendor.

4.4 Retention

The Client shall retain **15% of each invoice value** as retention money, which shall be released **eighteen (18) months** after the final go-live, subject to satisfactory performance and closure of all defects.

4.5 Disputed Amounts

If the Client disputes any invoice, the Client shall pay the undisputed portion within the stipulated timeframe and raise a written dispute for the remaining amount within 30 days. Disputed amounts shall be resolved through mutual discussion, and if unresolved, through the dispute resolution mechanism in Clause 17.

5. DEPOSITS AND SECURITY

5.1 Earnest Money Deposit (EMD)

The Client shall pay an Earnest Money Deposit of **INR 75,00,000 (Indian Rupees Seventy-Five Lakhs Only)** within 15 days of signing this Agreement as a token of commitment. The EMD shall be non-interest bearing.

5.2 Adjustment of EMD

The EMD shall be adjusted against the final milestone payment (Post Go-Live payment) only after successful completion of all deliverables and the 90-day stabilization period.

5.3 Forfeiture of EMD

In the event the Client terminates this Agreement for convenience or without cause before completion of 80% of the project, the Vendor shall have the right to forfeit the entire EMD as liquidated damages for loss of business opportunity and committed resources.

5.4 Performance Security Deposit

In addition to the EMD, the Client shall provide a Performance Security Deposit of **10% of the total contract value** (i.e., **INR 85,00,000**) in the form of a bank guarantee from a scheduled commercial bank, valid for the entire contract period plus six months. This security may be invoked by the Vendor in case of Client's material breach or non-payment.

5.5 No Security from Vendor

The Vendor is not required to provide any security deposit or performance guarantee to the Client for performance of its obligations under this Agreement.

6. CONTRACT DURATION AND RENEWAL

6.1 Initial Term

The initial term of this Agreement shall be **five (5) years** from the Effective Date, unless terminated earlier in accordance with the provisions of this Agreement.

6.2 Development Phase

The development and implementation phase is estimated to be completed within **18-24 months** from the Commencement Date, subject to timely cooperation and inputs from the Client. However, this is an estimate only and not a binding deadline.

6.3 Maintenance Phase

Upon completion of the development phase and go-live, the Agreement shall automatically transition to an annual maintenance contract (AMC) for the remaining term.

6.4 Automatic Renewal

This Agreement shall **automatically renew** for successive periods of **three (3) years** each, unless either Party provides written notice of non-renewal at least **one hundred and eighty (180) days** prior to the expiry of the then-current term.

6.5 Renewal Terms

Upon renewal, the Vendor reserves the right to revise the maintenance fees and terms based on then-prevailing market conditions. The revised fees may be up to 20% higher than the previous term.

6.6 Early Termination Fee

If the Client wishes to terminate this Agreement during the initial five-year term or any renewal term without cause, the Client shall pay an early termination fee equal to **50% of the fees for the remaining contract period**, in addition to forfeiture of the EMD and any other amounts due.

7. DELIVERY TIMELINES AND SERVICE RESPONSE

7.1 Project Timeline

The tentative project timeline is as follows:

Phase	Estimated Duration
Requirement Gathering	2-3 months
Design & Architecture	2-4 months
Development	8-12 months
Testing & UAT	2-3 months
Deployment & Go-Live	1-2 months
Post Go-Live Support	3 months

Total Estimated Duration: 18-24 months (indicative only)

7.2 Timeline Flexibility

The above timelines are estimates and may vary based on:

- Complexity of requirements discovered during execution;
- Availability and responsiveness of Client personnel;
- Scope changes or additions;
- Third-party dependencies;
- Force majeure events;
- Resource availability;
- Technology constraints.

The Vendor shall use reasonable efforts to meet the timelines but does not guarantee adherence to the above schedule.

7.3 Client Dependencies

Delays caused by the Client, including but not limited to delayed approvals, late provision of information, unavailability of Client personnel, or changes in requirements, shall entitle the Vendor to extension of time on a day-for-day basis or as mutually agreed.

7.4 Service Response Times (Post Go-Live)

During the maintenance phase, the Vendor shall respond to issues based on the following indicative response times:

Priority	Description	Response Time
Critical	System completely down	Within reasonable time
High	Major functionality impaired	As soon as practicable
Medium	Minor functionality issue	Within a few business days
Low	Enhancement requests, queries	As and when possible

7.5 No Defined Uptime SLA

The Vendor does not commit to any specific system uptime percentage. The Vendor shall use best efforts to maintain system availability but shall not be liable for any downtime caused by factors beyond its reasonable control.

8. PENALTIES AND LIQUIDATED DAMAGES

8.1 No Penalty for Delay

The Parties acknowledge that software development is inherently unpredictable and subject to various uncertainties. Accordingly, **no liquidated damages or penalties shall be levied** on the Vendor for delays in delivery or completion of milestones beyond the estimated timelines.

8.2 Client Penalty for Delayed Payments

In the event the Client delays payment beyond the stipulated 90-day period, the Client shall be liable to pay:

- Interest at 2% per month on delayed amounts;
- Administrative charges of INR 25,000 per month for follow-up and recovery efforts;
- All costs of collection including legal fees if the matter is referred for legal recovery.

8.3 No Performance-Based Penalties

There shall be no penalties, liquidated damages, or deductions from payments for performance issues, bugs, defects, or non-conformance to requirements unless such non-conformance is willful and malicious.

8.4 Defects

The Vendor shall rectify defects reported during the warranty period on a best-effort basis. However, the Client shall have no right to withhold payments, claim damages, or demand specific performance timelines for defect resolution.

9. VENDOR OBLIGATIONS AND SERVICE LEVELS

9.1 General Obligations

The Vendor shall:

- (a) Provide services with reasonable skill and care;
- (b) Assign qualified personnel with relevant experience to the project;
- (c) Maintain confidentiality of Client information;
- (d) Comply with applicable laws and regulations;
- (e) Provide periodic progress updates to the Client as feasible;
- (f) Cooperate with Client personnel in good faith;
- (g) Use commercially reasonable efforts to meet project objectives.

9.2 Service Level Commitments (Post Go-Live)

During the annual maintenance phase, the Vendor shall endeavor to:

- (a) Respond to support requests within reasonable timeframes;
- (b) Maintain system availability to the extent practicable;
- (c) Provide bug fixes and patches as needed;
- (d) Perform system health checks periodically;
- (e) Provide telephone and email support during business hours (9 AM to 6 PM IST, Monday to Friday, excluding public holidays).

9.3 Maintenance Activities

Maintenance services shall include:

- (a) Corrective maintenance: fixing bugs and errors;
- (b) Adaptive maintenance: minor modifications to accommodate changes;
- (c) Helpdesk support: responding to user queries;

(d) System monitoring: periodic checks as feasible.

9.4 Exclusions from Maintenance

The following are excluded from standard maintenance and shall be charged separately:

- (a) Major enhancements or new features;
- (b) Integration with new third-party systems;
- (c) Data migration or re-implementation;
- (d) Training for new users;
- (e) Issues arising from Client's misuse or unauthorized modifications;
- (f) Problems caused by third-party software or hardware;
- (g) Services required outside business hours unless pre-arranged.

9.5 No Guaranteed Uptime

The Vendor does not guarantee any specific uptime percentage (e.g., 99.9% availability). System availability may be affected by scheduled maintenance, upgrades, internet connectivity, hosting infrastructure, or unforeseen technical issues.

9.6 Response Time Disclaimer

The response times mentioned in Clause 7.4 are indicative and not binding commitments. Actual response and resolution times may vary based on issue complexity, resource availability, and other factors.

9.7 No SLA Credits or Rebates

The Client shall not be entitled to any service credits, rebates, or compensation for failure to meet service levels, response times, or uptime targets.

10. SERVICE LEVEL AGREEMENTS (SLA) METRICS

10.1 SLA Framework

The Vendor shall endeavor to meet the following service levels on a best-effort basis:

(a) Incident Response:

- Critical incidents: initial response within 4-8 business hours

- High priority: initial response within 1-2 business days
- Medium priority: initial response within 3-5 business days
- Low priority: initial response as resources permit

(b) System Availability:

- Target availability: reasonable uptime during business hours
- Planned downtime: notified 48 hours in advance where possible
- Unplanned downtime: vendor to use best efforts to restore service

(c) Maintenance Window:

- Scheduled maintenance: preferably during non-business hours
- Duration: as required to complete maintenance activities
- Frequency: as needed based on system requirements

10.2 Measurement and Reporting

(a) SLA performance shall be measured internally by the Vendor.

(b) The Vendor may provide periodic reports on service levels if requested and if feasible.

(c) The Client acknowledges that SLA measurement is subject to interpretation and data availability.

10.3 Exclusions from SLA

SLA metrics shall not apply in the following circumstances:

- (a) Issues caused by Client's network, hardware, or infrastructure;
- (b) Force majeure events;
- (c) Scheduled maintenance windows;
- (d) Issues arising from unauthorized access or modifications by Client;
- (e) Third-party service failures;
- (f) Any factors beyond Vendor's reasonable control.

10.4 No Remedies for SLA Breach

The Client acknowledges that the SLA targets are aspirational. Non-achievement of SLA metrics shall not constitute a breach of contract, and the Client shall have no right to claim damages, service credits, or termination rights based on SLA failures.

11. WARRANTY AND DEFECT LIABILITY PERIOD

11.1 Limited Warranty Period

The Vendor warrants that the software delivered shall be free from material defects for a period of **ninety (90) days** from the date of go-live for each module (the "**Warranty Period**").

11.2 Scope of Warranty

The warranty covers:

- (a) Material defects in software code that prevent core functionality;
- (b) Critical bugs that cause system crashes or data corruption;
- (c) Failure of the software to substantially conform to the documented specifications as agreed.

11.3 Warranty Exclusions

The warranty does not cover:

- (a) Defects arising from Client's misuse, negligence, or unauthorized modifications;
- (b) Issues caused by third-party software, hardware, or services;
- (c) Normal wear and tear or degradation of performance over time;
- (d) Cosmetic issues or minor usability concerns;
- (e) Feature requests or enhancements;
- (f) Issues arising from operating the software in an unsupported environment;
- (g) Problems caused by force majeure or factors beyond Vendor's control.

11.4 Remedy for Warranty Breach

The sole and exclusive remedy for breach of warranty shall be the Vendor's obligation to use reasonable efforts to correct the defect within a reasonable time. The Client shall have no right to claim damages, refunds, or replacement.

11.5 No Extended Warranty

After expiry of the 90-day Warranty Period, all support and defect fixes shall be provided only under the annual maintenance contract (AMC) on a best-effort basis.

11.6 Disclaimer of Other Warranties

Except as expressly stated in this Clause 11, **the Vendor disclaims all other warranties, whether express, implied, or statutory, including but not limited to warranties of merchantability, fitness for a particular purpose, title, non-infringement, or arising from course of dealing or usage of trade.**

The Vendor does not warrant that:

- The software will be error-free or operate without interruption;
- All defects will be corrected;
- The software will meet all of Client's requirements or expectations;
- The software will be compatible with all third-party systems.

11.7 Client's Responsibility

The Client acknowledges that software is complex and may contain latent defects. The Client is responsible for:

- Conducting thorough user acceptance testing before go-live;
- Implementing appropriate backup and disaster recovery procedures;
- Training its personnel adequately;
- Maintaining appropriate hardware and infrastructure.

12. VENDOR ELIGIBILITY AND QUALIFICATION CRITERIA

12.1 Vendor Representations

The Vendor represents and warrants that:

- (a) It is a company duly incorporated and validly existing under the laws of India;
- (b) It has the legal right and authority to enter into this Agreement;
- (c) It possesses technical capability to provide the services;
- (d) It shall comply with all applicable laws.

12.2 Minimum Qualification Criteria (Self-Declared)

The Vendor declares that it meets the following minimum criteria:

- (a) **Annual Turnover:** Average annual turnover of at least INR 5 Crores in the last 2 financial years;
- (b) **Experience:** At least 2 years of experience in software development;
- (c) **Team Size:** Minimum 10 technical personnel on payroll;
- (d) **Past Projects:** At least 2 completed software projects in the last 3 years.

12.3 Verification of Credentials

The Client may request supporting documents for verification of the above criteria. However, the Client acknowledges that it has conducted its own due diligence and is satisfied with the Vendor's credentials.

12.4 No Ongoing Compliance Requirement

The Vendor is required to meet the eligibility criteria only at the time of signing this Agreement. There is no obligation to maintain these criteria throughout the contract term.

12.5 Subcontracting

The Vendor reserves the right to subcontract any portion of the work to third parties at its discretion without prior approval from the Client, provided that the Vendor remains responsible for the work performed by subcontractors.

12.6 Personnel Changes

The Vendor may change project personnel at any time based on business needs. The Client shall not have the right to approve or reject such changes.

13. LIABILITY AND INDEMNITY

13.1 Limitation of Liability

(a) **Aggregate Liability Cap:** The Vendor's total aggregate liability arising out of or related to this Agreement, whether in contract, tort, or otherwise, shall not exceed **the amount of fees actually paid by the Client to the Vendor in the twelve (12) months preceding the event giving rise to liability.**

(b) **Exclusion of Consequential Damages:** In no event shall the Vendor be liable for any indirect, incidental, consequential, special, or punitive damages, including but not limited to:

- Loss of profits, revenue, or business;
- Loss of data or corruption of data;
- Business interruption;
- Loss of goodwill or reputation;
- Cost of replacement services;
- Any other economic loss,

even if the Vendor has been advised of the possibility of such damages.

(c) **Time Bar:** Any claim against the Vendor must be brought within **six (6) months** from the date the cause of action arose, failing which the claim shall be time-barred and deemed waived.

13.2 Client's Unlimited Liability

(a) The Client shall have unlimited liability for payment of all fees, charges, and amounts due under this Agreement.

(b) The Client shall indemnify and hold harmless the Vendor, its officers, employees, agents, and subcontractors from and against any and all claims, losses, damages, liabilities, and expenses (including reasonable attorneys' fees) arising from:

- Client's breach of this Agreement;
- Client's misuse of the software or services;
- Claims by third parties based on Client's use of the software;
- Violation of laws or regulations by the Client;
- Infringement of third-party rights by Client's data or content;
- Any acts or omissions of Client's employees or agents.

13.3 Intellectual Property Indemnity by Vendor

The Vendor shall indemnify the Client against claims that the software infringes third-party intellectual property rights, **provided that:**

(a) The Client promptly notifies the Vendor in writing of any such claim;

(b) The Client grants the Vendor sole control over the defense and settlement of the claim;

- (c) The Client provides reasonable cooperation and assistance;
- (d) The claim does not arise from Client's modifications or use outside the scope of permitted use.

However, the Vendor's liability under this indemnity shall be limited to:

- Obtaining a license for continued use;
- Modifying the software to make it non-infringing; or
- Replacing the infringing component.

If none of the above remedies is commercially reasonable, the Vendor may terminate the license and refund a prorated portion of fees paid for the infringing component, and such refund shall be the Client's sole and exclusive remedy.

13.4 No Liability for Third-Party Components

The Vendor shall not be liable for any claims arising from third-party software, open-source components, or licensed products used in or with the software.

13.5 Force Majeure Exclusion

Neither Party shall be liable for any failure or delay in performance due to force majeure events as defined in Clause 16.

14. TERMINATION

14.1 Termination for Material Breach

Either Party may terminate this Agreement by giving **ninety (90) days' written notice** to the other Party if the other Party commits a material breach of this Agreement and fails to cure such breach within **sixty (60) days** of receiving written notice of the breach.

14.2 Material Breach Defined

For the purposes of this Agreement, the following shall constitute material breach:

(a) By the Client:

- Non-payment of undisputed invoices for more than 120 days;
- Insolvency or bankruptcy proceedings initiated against the Client;
- Repeated failure to provide necessary cooperation or inputs after written reminders.

(b) By the Vendor:

- Willful and malicious refusal to provide services;
- Gross negligence causing substantial harm to the Client (subject to proof);
- Unauthorized disclosure of Client's confidential information causing material harm.

14.3 No Termination for Convenience by Client

The Client **shall not have the right** to terminate this Agreement for convenience or without cause during the initial five (5) year term. The Client may only terminate for material breach as defined above or by paying the early termination fee as specified in Clause 6.6.

14.4 Vendor's Right to Terminate for Convenience

The Vendor may terminate this Agreement for convenience at any time by giving **ninety (90) days' written notice** to the Client without any liability, penalty, or obligation to refund any fees paid.

14.5 Consequences of Termination

(a) **Payments Due:** Upon termination for any reason:

- All unpaid invoices for work completed shall become immediately due and payable;
- The Client shall pay for all work-in-progress on a prorated basis as determined by the Vendor;
- The retention amount shall be released to the Vendor within 30 days;
- The EMD shall be forfeited if termination is by the Client;
- The early termination fee (if applicable) shall be paid within 15 days.

(b) **Deliverables:** The Vendor shall deliver only those completed deliverables for which full payment has been received. Partial or incomplete work shall remain the property of the Vendor.

(c) **Intellectual Property:** Upon full and final payment of all amounts due:

- The Client shall receive a license to use the delivered software;
- Source code shall be delivered only if separately agreed and paid for;
- The Vendor shall retain all IPR in reusable components, tools, frameworks, and methodologies.

(d) **Data Return:** The Vendor shall return or destroy Client data within 30 days of termination, subject to payment of all dues.

(e) **Transition Assistance:** The Vendor may, at its discretion and for additional fees, provide reasonable transition assistance to the Client for up to 60 days post-termination.

14.6 Survival

The following clauses shall survive termination: payment obligations, intellectual property rights, confidentiality, limitation of liability, indemnity, and dispute resolution.

15. INTELLECTUAL PROPERTY RIGHTS

15.1 Ownership of Deliverables

(a) All intellectual property rights in the deliverables, including software, code, documentation, designs, and other work products developed by the Vendor under this Agreement, shall **vest exclusively in the Vendor** until full and final payment of all amounts due under this Agreement.

(b) Upon receipt of full payment (including all milestone payments, retention amounts, and any other dues), the Vendor grants to the Client a **limited, non-exclusive, non-transferable, perpetual license** to use the deliverables solely for the Client's internal business purposes.

15.2 Vendor's Background IP

All intellectual property rights in the Vendor's pre-existing technology, tools, frameworks, libraries, methodologies, know-how, and reusable components (collectively, "**Background IP**") shall remain the exclusive property of the Vendor. The Client acknowledges that the deliverables may incorporate or be based on the Vendor's Background IP.

15.3 Restrictions on Use

The Client shall not:

- Modify, adapt, or create derivative works from the software without prior written consent;
- Reverse engineer, decompile, or disassemble the software;
- Remove or alter any proprietary notices or labels;
- Rent, lease, lend, sell, sublicense, or transfer the software to any third party;
- Use the software for any purpose other than the Client's internal operations;

- Allow access to the software by any third party except Client's employees and authorized contractors.

15.4 Source Code

The Vendor shall not be obligated to deliver source code unless separately agreed and paid for. If source code is to be delivered, it shall be subject to a separate source code license agreement and escrow arrangement at additional cost.

15.5 Infringement by Client

If the Client uses the software in violation of this Agreement or the license terms, the Vendor may immediately terminate the license and demand return or destruction of all copies of the software without any refund of fees paid.

15.6 Third-Party Components

The software may include third-party open-source or commercial components. The Client's use of such components shall be subject to the applicable third-party license terms, and the Vendor makes no warranties regarding such components.

16. FORCE MAJEURE

16.1 Force Majeure Events

Neither Party shall be liable for any failure or delay in performance of its obligations under this Agreement (other than payment obligations) to the extent such failure or delay is caused by events beyond its reasonable control, including but not limited to:

- (a) Acts of God, including earthquakes, floods, storms, or other natural disasters;
- (b) War, invasion, acts of foreign enemies, or civil war;
- (c) Riots, civil commotion, or terrorism;
- (d) Fire, explosion, or accidents;
- (e) Strikes, lockouts, or other industrial action (whether or not involving the Party's own employees);
- (f) Failure of telecommunications, internet, or power supply;
- (g) Government actions, laws, regulations, or embargoes.

16.2 Notice and Mitigation

The Party affected by a force majeure event shall:

- Notify the other Party in writing as soon as reasonably practicable;
- Use reasonable efforts to mitigate the effects of the force majeure event;
- Resume performance as soon as reasonably practicable after the event ceases.

16.3 Extension of Time

The affected Party shall be entitled to an extension of time for performance equal to the period of delay caused by the force majeure event.

16.4 Termination Due to Prolonged Force Majeure

If a force majeure event continues for more than **one hundred and eighty (180) days**, either Party may terminate this Agreement by giving **thirty (30) days' written notice** to the other Party. However:

- The Client shall remain liable for all payments due for work completed up to the date of termination;
- The Vendor shall not be liable for any refunds or damages;
- The EMD and retention amounts shall be dealt with as per Clause 14.5.

16.5 Payment Obligations

For the avoidance of doubt, force majeure shall not excuse the Client's payment obligations. All invoices shall remain due and payable regardless of any force majeure event affecting the Vendor's performance.

17. GOVERNING LAW AND DISPUTE RESOLUTION

17.1 Governing Law

This Agreement shall be governed by and construed in accordance with the laws of India, without regard to its conflict of law principles.

17.2 Jurisdiction

The courts at **Bangalore, Karnataka** shall have exclusive jurisdiction over all disputes arising out of or in connection with this Agreement. Each Party irrevocably submits to the exclusive jurisdiction of such courts and waives any objection to venue or inconvenient forum.

17.3 Dispute Resolution Process

(a) **Negotiation:** In the event of any dispute, controversy, or claim arising out of or relating to this Agreement, the Parties shall first attempt to resolve the matter through good faith negotiations between senior management representatives within thirty (30) days.

(b) **Mediation:** If the dispute is not resolved through negotiation, the Parties may mutually agree to submit the dispute to mediation before a mutually acceptable mediator. The mediation shall be non-binding.

(c) **Litigation:** If mediation is unsuccessful or not pursued, either Party may initiate legal proceedings in the courts of Bangalore, Karnataka.

17.4 Arbitration Not Mandatory

The Parties acknowledge that arbitration is not mandatory under this Agreement. Either Party may directly approach the competent courts without first resorting to arbitration.

17.5 Interim Relief

Nothing in this Clause 17 shall prevent either Party from seeking interim or injunctive relief from a court of competent jurisdiction pending resolution of the dispute.

17.6 Costs

Each Party shall bear its own costs of dispute resolution, including legal fees, unless otherwise awarded by a court of competent jurisdiction.

18. CONFIDENTIALITY

18.1 Confidential Information

Each Party acknowledges that in the course of this Agreement, it may have access to confidential information of the other Party, including but not limited to business plans, technical data, customer information, financial information, trade secrets, and proprietary information.

18.2 Obligations

Each Party agrees to:

- Maintain confidentiality of the other Party's confidential information;
- Use such information only for the purposes of this Agreement;
- Not disclose such information to third parties without prior written consent;

- Protect such information with the same degree of care as it protects its own confidential information, but in no event less than reasonable care.

18.3 Exceptions

The obligations under this Clause shall not apply to information that:

- Is or becomes publicly available through no fault of the receiving Party;
- Is already known to the receiving Party without restriction;
- Is independently developed by the receiving Party without use of the disclosing Party's confidential information;
- Is rightfully received from a third party without restriction;
- Is required to be disclosed by law or court order (with prior notice to the disclosing Party, if permitted).

18.4 Return of Information

Upon termination or at the request of the disclosing Party, the receiving Party shall return or destroy all confidential information and certify such destruction in writing (except for copies required to be retained by law or for archival purposes).

18.5 Survival

The obligations under this Clause shall survive termination of this Agreement for a period of **three (3) years**.

19. GENERAL PROVISIONS

19.1 Entire Agreement

This Agreement, including all schedules and annexures, constitutes the entire agreement between the Parties with respect to the subject matter hereof and supersedes all prior agreements, understandings, and communications, whether written or oral.

19.2 Amendments

No amendment, modification, or waiver of this Agreement shall be binding unless in writing and signed by authorized representatives of both Parties.

19.3 Waiver

The failure of either Party to enforce any provision of this Agreement shall not constitute a waiver of that provision or any other provision. No waiver shall be effective unless in writing.

19.4 Severability

If any provision of this Agreement is held to be invalid or unenforceable, the remaining provisions shall continue in full force and effect, and the invalid provision shall be modified to the minimum extent necessary to make it valid and enforceable.

19.5 Assignment

(a) The Client may not assign or transfer this Agreement or any of its rights or obligations hereunder without the prior written consent of the Vendor, which may be withheld in the Vendor's sole discretion.

(b) The Vendor may assign this Agreement to any affiliate, subsidiary, or successor entity without the Client's consent.

19.6 Notices

All notices under this Agreement shall be in writing and delivered by hand, courier, registered post, or email to the addresses specified in this Agreement. Notices shall be deemed effective:

- If by hand or courier: upon delivery;
- If by registered post: five (5) business days after posting;
- If by email: upon transmission (subject to confirmation of receipt).

19.7 Relationship of Parties

The Parties are independent contractors. Nothing in this Agreement shall be construed to create a partnership, joint venture, agency, or employment relationship.

19.8 No Third-Party Beneficiaries

This Agreement is solely for the benefit of the Parties and does not confer any rights upon any third party.

19.9 Counterparts

This Agreement may be executed in counterparts, each of which shall be deemed an original and all of which together shall constitute one and the same instrument.

19.10 Language

This Agreement is executed in English. In case of any conflict between English and any translated version, the English version shall prevail.

20. SCHEDULES

Schedule A: Detailed Deliverables Specification

[To be finalized based on detailed requirement analysis during the project]

The exact modules, features, functionalities, and technical specifications shall be documented during the requirement gathering phase and mutually agreed upon. The Client acknowledges that the final deliverables may vary from initial discussions based on feasibility, technical constraints, and scope refinement.

Schedule B: Milestone Schedule

[To be developed during project planning]

Detailed milestone definitions, acceptance criteria, and timelines shall be prepared by the Vendor during the project initiation phase. The Client agrees to cooperate in defining reasonable milestones that align with development progress.

Schedule C: Support and Maintenance Terms

[To be documented separately]

Detailed terms for annual maintenance contract (AMC), including support hours, response times, excluded services, and escalation procedures, shall be documented separately before commencement of the maintenance phase.

IN WITNESS WHEREOF, the Parties have executed this Agreement on the date first written above.

For ACME Corporation Private Limited

Name: Rajesh Kumar

Designation: Chief Technology Officer

Date: January 15, 2024

For TechVenture Solutions India Pvt. Ltd.

Name: Arvind Mehta

Designation: Managing Director

Date: January 15, 2024